

FirstFT World

FirstFT: Fed to begin stimulus ‘taper’

Merck’s Covid pill gets UK green light and where now for the Democrats?



Jay Powell’s refusal to even countenance a discussion of when US rates should go up helped calm investor nerves © FT

Gordon Smith, Gary Jones and Emily Goldberg

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The US Federal Reserve said it would begin [scaling back](#) its massive \$120bn monthly bond-buying programme this month, a critical milestone for a US economy that is recovering from the pandemic and contending with surging inflation.

The decision is the culmination of months of painstaking debate among Fed officials about the level of support needed for the world's largest economy as price pressures begin to extend beyond the sectors most sensitive to the post-pandemic reopening.

Yet the announcement barely registered [in financial markets](#). Wall Street stocks climbed to record highs while short-dated US government yields inched up only marginally.

The muted market reaction reflected not just the Fed's efforts to prepare investors for the "taper" of its massive stimulus, but also chair Jay Powell's insistence that it was still far too early to think about raising US interest rates despite widespread inflation.

"It's appropriate to be patient," Powell said during a press conference following the Fed's two-day meeting at which the central bank said it would scale back its bond-buying programme by \$15bn each month — a timeline that puts it on track to withdraw the stimulus entirely by the middle of next year.

Powell said the US economy had not yet met the much more stringent test for executing the next step of monetary tightening of raising interest rates. The Fed has stipulated it would maintain interest rates at today's near-zero levels until it achieves maximum employment and inflation that averages 2 per cent "over time".

Go deeper: Colby Smith and Kate Duguid have done a full analysis of the Fed's latest monetary policy announcement [here](#).

Comment: Robert Armstrong provides his main takeaways from the statement in the latest edition of [Unhedged](#).

Do you think the Federal Reserve is being too cautious? Is inflation more of a problem than the US central bank thinks? Email me at firstft@ft.com. Here's the rest of today's news — Gordon

Five more stories in the news

1. Phil Murphy re-elected governor of New Jersey The Democrat [narrowly defeated](#) his Republican rival Jack Ciattarelli after an unexpectedly close contest. The New Jersey result, in a state where Joe Biden won by a 16-point margin in 2020, followed a stunning defeat for Democrat Terry McAuliffe in Virginia's gubernatorial election against Republican Glenn Youngkin.

Analysis: The results in Virginia and New Jersey — mirrored in other contests across the country — suggested [an “enthusiasm gap”](#) between fired-up Republican voters and less-exercised Democrats, write Lauren Fedor and James Politi in Washington.

Comment: Democrats must look beyond Joe Biden and Kamala Harris for 2024, [writes Janan Ganesh](#).

2. Merck's Covid pill secures green light from UK The UK medicines regulator today granted [the first authorisation](#) to Merck's antiviral pill for Covid-19, a drug that has been hailed by public health experts as an important new tool to combat the pandemic.

3. Credit Suisse to axe prime broking The Swiss bank [announced today](#) it would consolidate its wealth management division and streamline its investment bank, and all but exit prime broking after the Archegos Capital scandal earlier this year left it nursing a \$5bn loss.

4. China plans to quadruple nuclear weapons stockpile A new Pentagon assessment of [China's nuclear weapons capabilities](#) said Beijing could have 700 deliverable warheads by 2027 and would boost its stockpile — currently estimated in the low 200s — to at least 1,000 by the end of the decade, marking a dramatic increase from last year's estimate by the US defence department.

5. US puts Israeli spyware company NSO on blacklist The company that created software traced to the phones of journalists and human rights activists around the world [has been added to a trade blacklist](#) by the commerce department. NSO and Tel Aviv-based rival Candiru were among four companies added to the so-called entity list, which restricts exports of US hardware and software to the companies.

Thanks to those who voted in our poll yesterday. Eighty-seven per cent of readers said Facebook was right to shutter its facial recognition system.

COP26 digest

More than 40 countries, including Poland, Vietnam and Chile, pledged to quit **coal** in [a new pact](#) that could be one of the key legacies of the Glasgow gathering.

BlackRock chief executive **Larry Fink** warned that pressure on public companies to pursue net-zero targets — while leaving private ones out of the spotlight — is creating an opportunity for “the [biggest capital markets arbitrage](#) in my lifetime”.

Yesterday a Mark Carney-led coalition of companies pledged up to \$130tn of private capital committed to hitting net zero. **Lex** has done the maths and says the pledge is [too big to be credible](#).

Interview: [Ugandan climate activist Vanessa Nakate](#) on Africa’s role in curbing emissions — and how she fought back after being cropped out of the picture.

Martin Wolf: How can we share our divided world, [asks our chief economics commentator](#). The short answer, he says, is with difficulty. The longer answer is: by being ambitiously pragmatic.

The day ahead

Opec+ meeting Saudi Arabia, Russia and other oil-producing nations will meet today and are expected to resist pressure to increase production. The group — known as Opec+ — has come under pressure from consuming nations [to increase production](#) in the face of rising oil prices.

Bank of England meets Traders in the money markets are convinced the Bank of England will become the first big central bank since the outbreak of the pandemic to [raise interest rates](#) at the conclusion of its two-day meeting. Economists are less sure, says our economics editor Chris Giles. [Here's his preview.](#)

Earnings Third-quarter results are due today from Airbnb and Pinterest, which recently held talks with PayPal [about a \\$45bn takeover](#). Covid-19 vaccine maker [Moderna](#) also reports earnings.

What else we're reading

US plan to vaccinate kids met by sceptical parents The Biden administration's plan for a speedy roll out of the jab to 28m young children faces a big challenge — high levels of [vaccine hesitancy](#) among parents and politicisation of the nation's Covid-19 strategy.

How does Europe get its gas? Surging prices and doubts over supplies are exposing Europe's reliance on the fuel that underpins much of its economy. This fascinating [visual explainer](#) sheds light on where the continent's gas comes from, as well as the reasons for the energy crisis.



How much of Europe's energy is produced in the EU and how much is imported? © FT montage/Bloomberg

Valley VC company borrows Wall Street's playbook The storied Silicon Valley venture capital company Sequoia is attempting to replicate the success of groups such as Blackstone and Pershing Square by creating a [“permanent structure”](#) to house investor capital that will then channel money into its sub-funds.

Battle to control the metaverse: Microsoft vs Facebook Whether you prefer Microsoft's gradualist approach or Facebook's dive straight into virtual reality, the metaverse has the potential to change the way we interact with colleagues and clients. [But will workers welcome the change?](#)

‘It's not a giant step to introduce nature into economics’ In a conversation with environment correspondent Leslie Hook, Cambridge professor [Partha Dasgupta](#) says “violent” damage to ecosystems is not being accounted for in macroeconomic forecasts.

Fashion

Sam Leith details the trials of a middle-aged man's [search for socks](#). Pairs that are comfortable, no-nonsense and lasting have become something of a Holy Grail, he writes.

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